TheLook E-Commerce: RFM Customer Segmentation Analysis

OVERVIEW

RFM MATRIX

DETAILS

INSIGHTS

country

All

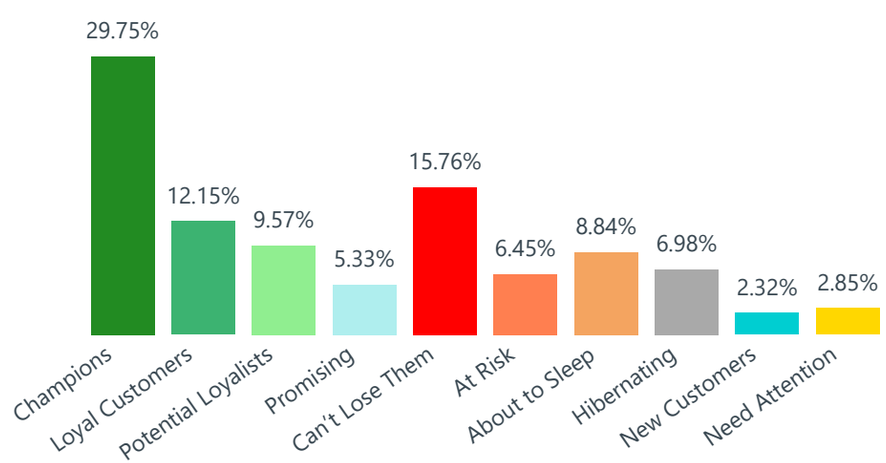
gender

All

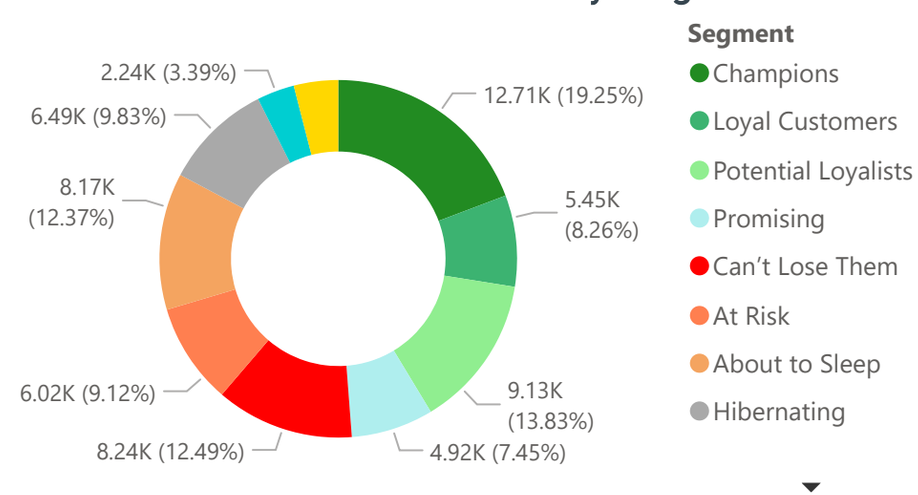
Total Revenue	Total Customer	Avg. Order Value	Avg. Recency
8.08M	66K	$86.53	561

Avg. Frequency	Avg. Monetary	Champions Revenue	Champions Revenue %
1.41	$122.39	$2.40M	29.75%

Revenue Contribution by Segment



Customer Distribution by Segment



TheLook E-Commerce: RFM Customer Segmentation Analysis

OVERVIEW

RFM MATRIX

DETAILS

INSIGHTS

country

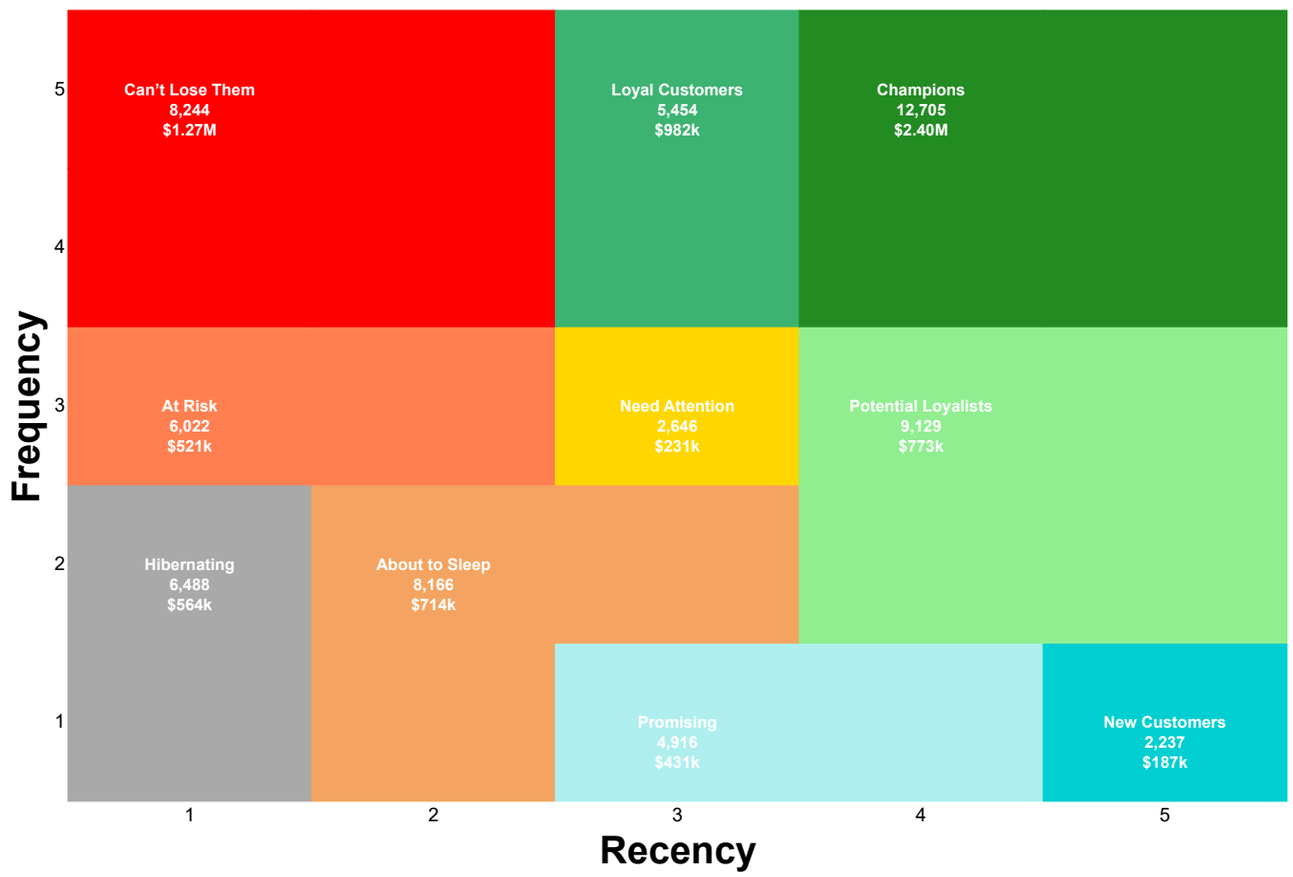
All

gender

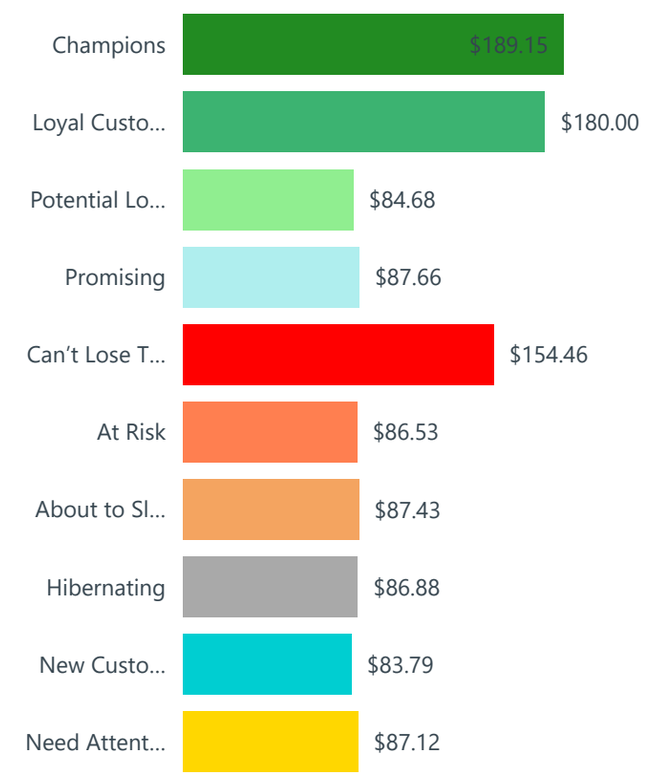
All

RFM Customer Segmentation Matrix

Analysis of Recency (R) vs. Frequency (F) Scores



Average Spend by Segment



TheLook E-Commerce: RFM Customer Segmentation Analysis

OVERVIEW

RFM MATRIX

DETAILS

INSIGHTS

country

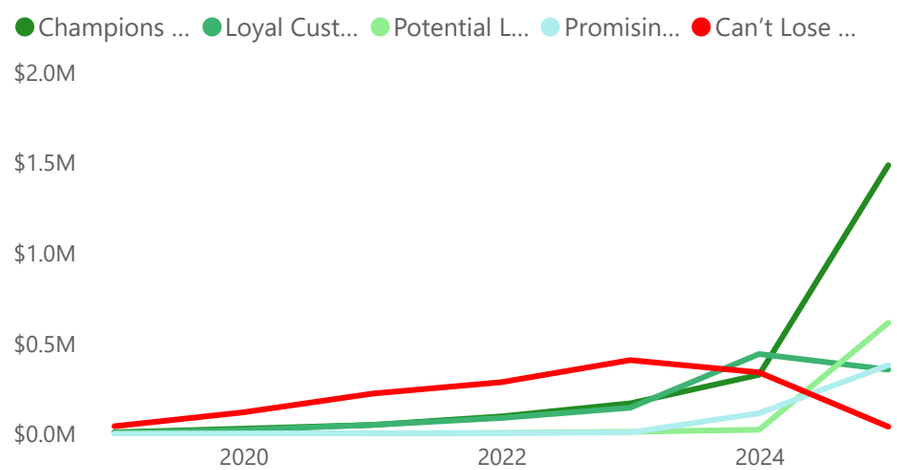
All

gender

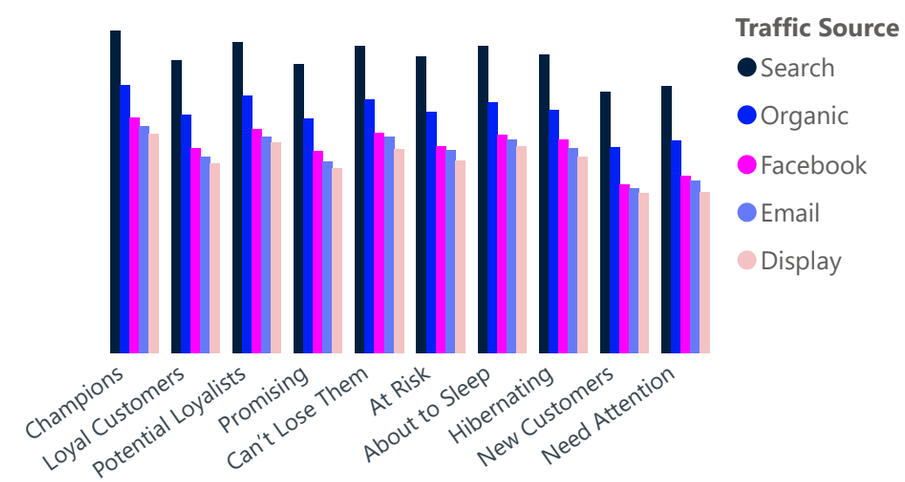
All

Segment	Avg. Recency (Days)	Avg. Frequency	Avg. Monetary	Revenue by Segment	Revenue % of Total	Customer by Segment	Customer % of Total
Champions	100	2.19	$189.15	$2,403,148.67	29.75%	12705	19.25%
Can't Lose Them	1022	1.80	$154.46	$1,273,401.77	15.76%	8244	12.49%
Loyal Customers	387	2.04	$180.00	$981,700.46	12.15%	5454	8.26%
Potential Loyalists	104	1.00	$84.68	$773,052.45	9.57%	9129	13.83%
About to Sleep	633	1.00	$87.43	$713,920.03	8.84%	8166	12.37%
Hibernating	1484	1.00	$86.88	$563,648.82	6.98%	6488	9.83%
At Risk	1151	1.00	$86.53	$521,078.04	6.45%	6022	9.12%
Promising	288	1.00	$87.66	$430,921.52	5.33%	4916	7.45%
Need Attention	391	1.00	$87.12	$230,522.87	2.85%	2646	4.01%
New Customers	34	1.00	$83.79	$187,432.25	2.32%	2237	3.39%
Total	**561**	**1.41**	**$122.39**	**$8,078,826.89**	**100.00%**	**66007**	**100.00%**

High-Value Customer Revenue Contribution



Segment Breakdown by Traffic Source



TheLook E-Commerce: RFM Customer Segmentation Analysis

Insights and Recommendations

- **Champions** 19% of customers generate 30% of total revenue with the highest average spend ($189), they are the most valuable group. Reward them with exclusive perks (early access to sales, VIP loyalty tiers).
- **Loyal Customers** generate 12% of total revenue with high frequency and average spend ($180). Upsell/cross-sell with personalized product recommendations. Provide tiered rewards or exclusive content to move them toward Champion status.
- **Potential Loyalists** generate 9% percent of total revenue. Nurture with targeted offers on best-sellers or related categories. Send automated follow-up campaigns highlighting benefits of repeat purchases.
- **Can't Lose Them** contribute 16% of revenue with strong historical value but low recency—urgent retention focus needed. Prevent churn through proactive outreach.
- **Need Attention** with 3.4% of total customer generate 2.8% of total revenue. Re-engage with reminders of past activity and personalized suggestions. Offer limited-time discounts tied to browsing/purchase history.
- **New Customers** and **Promising** show recent engagement but low frequency—prime targets for conversion to loyal segments.
- **Hibernating/About to Sleep/At Risk** together represent ~30% of customers but only ~22% of revenue—opportunity for win-back campaigns.